

25STCV18638 25STCV18638

County: los-angeles

Division: Civil Law and Motion

Department: 617

Hearing date: 2026-07-14

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Case Number: 25STCV18638 Hearing Date: July 14, 2026 Dept: 617

Dept.

617

Date:

7-14-26

Case

#: 25STCV18638

Trial

Date: None Set

DEMURRER

MOVING

PARTY: Defendant, General Motors LLC

RESPONDING

PARTY: Plaintiff, Nelson A Garcia

RELIEF

REQUESTED

Demurrer

to Fourth and Fifth Causes of Action in Complaint

SUMMARY

OF ACTION

This

is a lemon law action. Plaintiff Nelson A Garcia sued Defendant General Motors LLC alleging Defendant failed to promptly replace his car or make restitution after it was unable to conform the car to its express warranty after a reasonable number of repair attempts. Plaintiff additionally asserts claims for breach of the implied warranty of merchantability and fraudulent inducement.

RULING: Sustained.

Defendant demurs to the fourth and fifth causes of action in Plaintiff's complaint for breach of the implied warranty of merchantability and fraudulent inducement. It argues that both claims are time-barred. It further contends that the fraud claim is barred by the economic loss rule and independent tort principle and is not pled with requisite particularity. Plaintiff opposes the demurrer, denying his claims are untimely and maintaining the sufficiency of the allegations in support of his fraud claim. Defendant's demurrer is sustained with leave to amend.

A

demurrer is an objection to a pleading, the grounds for which are apparent from either the face of the complaint or a matter of which the court may take judicial notice. (Code Civ. Proc., § 430.30, subd. (a); see also *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The purpose of a demurrer is to challenge the sufficiency of a pleading "by raising questions of law." (*Postley v. Harvey* (1984) 153 Cal.App.3d 280, 286.) "In the construction of a pleading, for the purpose of determining its effect, its allegations must be liberally construed, with a view to substantial justice between the parties." (Code Civ. Proc., § 452.) The court "treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law" (*Berkley v. Dowds* (2007) 152 Cal.App.4th 518, 525.) In applying these standards, the court liberally construes the complaint to determine whether a cause of action has been stated. (*Picton v. Anderson Union High School Dist.* (1996) 50 Cal.App.4th 726, 733.) "If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer." (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38.)

Fourth

Cause of Action: Breach of the Implied Warranty of Merchantability

Defendant

argues that Plaintiff's cause of action for breach of the implied warranty of merchantability is time-barred.

The

statute of limitations for a manufacturer's breach of its Song-Beverly Act obligations is governed by section 2725 of the California Uniform Commercial Code. (*Mexia v. Rinker Boat Co., Inc.* (2009) 174 Cal.App.4th 1297, 1305-06.) Under that provision, "[a]n action for breach of any contract for sale must be commenced within four years after the cause of action has accrued." (Cal. U. Com. Code, § 2725, subd. (1).) "A cause of action accrues when the breach occurs, regardless of the aggrieved party's lack of knowledge of the breach. A breach of warranty occurs when tender of delivery is made, except that where a warranty explicitly extends to future performance of the goods and discovery of the breach must await the time of such performance the cause of action accrues when the breach is or should have been discovered." (*Id.* § 2725, subd. (2).)

Under

the Song-Beverly Act, the duration of the implied warranty of merchantability is coextensive with an express warranty but is not to exceed "one year following the sale of new consumer goods to a retail buyer." (Civ. Code, § 1791.1, subd. (c).) "[B]y giving the implied warranty a limited prospective existence beyond the time of delivery, the Legislature created the possibility that the implied warranty could be breached after delivery." (*Mexia*, *supra*, 174 Cal.App.4th at p. 1309.) "[T]his is a change from the Uniform Commercial Code, under which the implied warranty could be breached only at the time of delivery." (*Ibid.*)

Plaintiff's

implied warranty claim is barred by the statute of limitations. Plaintiff does not allege when he discovered the defect, only claiming that "the Subject Vehicle was sold with one or more latent defect(s)" [Compl. ¶ 43.] Without such facts, the Court is unable to determine whether Plaintiff timely filed his claim within the four-year limitations period. Defendant's demurrer to this claim is thus sustained. Because there is a reasonable possibility that Plaintiff can cure this defect, he is granted leave to amend.

Fifth

Cause of Action: Fraudulent Inducement

Defendant

argues that Plaintiff's fraudulent inducement by concealment cause of action is barred by the statute of limitations, economic loss rule, and independent tort principle.

Plaintiff's fraud claim is not barred by the economic loss rule or the independent tort principle. The law recognizes a separation between tort and contract law. Plaintiffs generally cannot recover tort remedies in a contract cause of action. (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 19-20.) The economic loss rule and the independent tort principle are related, but different, concepts that maintain this distinction. The economic loss rule is a specific application of the independent tort principle. (*Id.* at p. 26.) The independent tort principle permits tort recovery for breach of contract "if the defendant allegedly violated a duty rooted in tort principles that is independent of the parties' contractual rights and obligations and exposed the plaintiff to a risk of harm beyond the parties' reasonable contemplation when they entered into the contract." (*Id.* at p. 23.) The economic loss rule is more narrow, only barring tort recovery "for negligently inflicted economic losses unaccompanied by physical or property damage" (*Id.* at p. 38.) Therefore, when, as here, an intentional tort claim like fraud is alleged, the economic loss rule does not apply and only the independent tort principle is at issue. (*Ibid.*)

The

independent tort principle does not bar Plaintiff's fraudulent inducement by concealment claim. Because fraudulent inducement claims concern wrongful precontractual conduct, the "traditional separation of tort and contract law" does not apply. (*Rattagan, supra*, 17 Cal.5th at p. 41.)

Indeed, this area of the law "traditionally has involved both contract and tort principles and procedures. For example, it has long been the rule that where a contract is secured by fraudulent representations, the injured party may elect to affirm the contract and sue for the fraud." (*Ibid.*; *Lazar v.*

Superior Court (1996) 12 Cal.4th 631, 645; *Campbell v. Birch* (1942) 19 Cal.2d 778, 791.) It logically follows that doctrines, such as the independent tort principle, that serve to preserve the distinction between

contract and tort law do not apply to fraudulent inducement claims like the one here. (See also *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 841-43 [economic loss rule does not bar fraudulent inducement claim].) Thus, neither the economic loss rule nor the independent tort principle bar Plaintiff's fraudulent inducement by concealment claim.

Plaintiff's

fraud claim is, however, barred by the statute of limitations. The statute of limitations for fraud is three years. (Code Civ. Proc., § 338, subd. (d).) The cause of action does not accrue "until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake." (Ibid.) Plaintiff does not state when he discovered Defendant's alleged fraud, instead claiming that he "discovered Defendant's wrongful conduct alleged herein shortly before the filing of the complaint, as the Vehicle continued to exhibit symptoms of defects following GM's unsuccessful attempts to repair them." [Compl. ¶ 24.] The lack of dates or a timeframe is plainly insufficient to invoke application of the discovery rule. (See *Fox v. Ethicon Endo-Surgery, Inc.* (2005) 35 Cal.4th 797, 808-09.) As there is a reasonable possibility that Plaintiff can allege facts properly invoking the discovery rule, he is granted leave to amend. Because the Court sustains Defendant's demurrer on this ground, it does not reach Defendant's particularity argument.

Plaintiff

is granted 30 days' leave to amend. Plaintiff may only add facts in support of the successfully challenged claims. (Harris v. Wachovia Mortgage, FSB (2010) 185 Cal.App.4th 1018, 1023.) If Plaintiff declines or fails to file an amended complaint, Defendant shall answer the operative complaint within 10 days of the lapsed deadline. Any new causes of action outside the scope of the order may be addressed via a motion to strike.

Defendant

to give notice.